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26 BUDGET → CAPITAL → RECEIPT

27 TYPES OF DEFICITS: घाटे के प्रकार

27.1.1 Types of Budget- Surplus, Deficit, Balanced

- If government's income >> its expenditure it will have a **surplus budget/** अधिशेष बजट
- If government's expenditure == its income, it will be a **balanced budget/** संतुलित बजट
- If government's expenditure >> its income, it'll be a **deficit budget/** घाटे का बजट

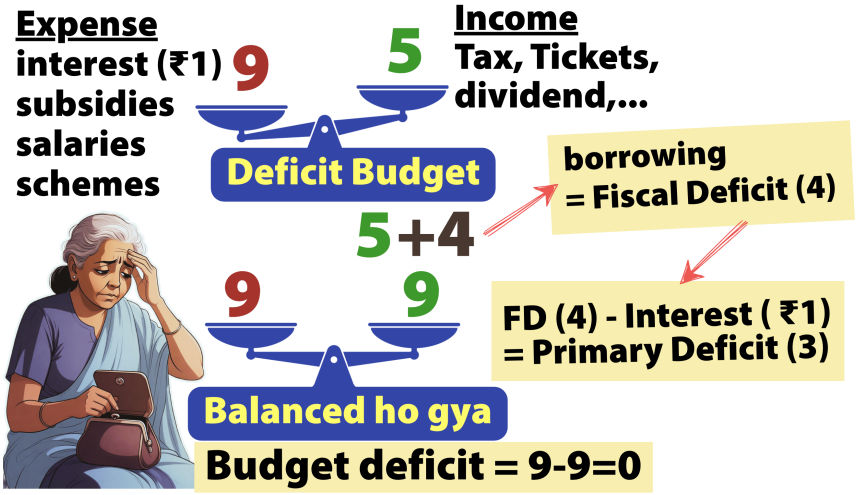
27.1.2 Yudhishthir Disclaimer on Deficit Formulas





27.1.3 Disclaimer #2 on the graphics for theory

- To explain the fiscal deficit theory, I'm taking example numbers of interim-feb-budget-2024. I'm not updating these (theory explanation) graphics with latest numbers from latest budget, theory remains same. Editing graphics is time-consuming headache.



27.1.4 **Budget Deficit (बजट घाटा) = total income – total expense**

Budget Deficit refers to the excess of total expenditure (both revenue and capital) over total receipts (both revenue and capital). **From the 1997-98 budget, Govt has stopped showing budget deficit.**

27.1.5 **Fiscal Deficit (राजकोषीय घाटा)= Budget Deficit + Borrowing**

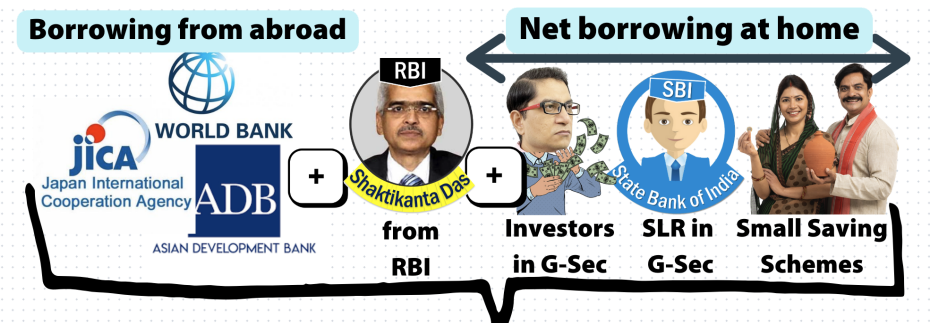
Source	formula
NCERT12	• FD = difference between the govt's total expenditure & its total receipts excluding borrowing • FD = Total expenditure – (Revenue receipts +Non-debt creating capital receipts).
TN Textbook	Fiscal Deficit = Budget Deficit + Borrowing*. *[*such as Small Savings Scheme, and the G-Secs subscribed by Banks/NBFCs) + Borrowing from RBI] + External Borrowing.*
Committee	Fiscal Deficit related famous committee= **Sukhmoy Chakravarti** (1997-98)

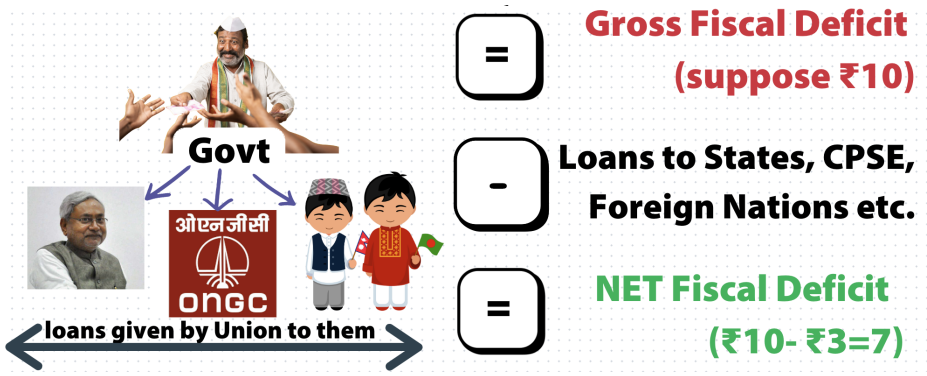
27.1.6 **Fiscal deficit formulas from ES26:**

Fiscal Deficit = Total Expenditure – Total Non-Debt Receipts
= (Revenue Expenditure + Capital Expenditure) – (Revenue Receipts + Non-Debt Capital Receipts)
= (Revenue Expenditure – Revenue Receipts) + Capital Expenditure – Non-Debt Capital Receipts
= Revenue Deficit + Capital Expenditure – Non-Debt Capital Receipts.

? **MCQ. The excess of total expenditure of Govt over its total receipts, excluding borrowings, is** _ _ _ (CDS-2021-i) (a) Primary deficit (b) Fiscal deficit (c) Current deficit (d) Capital deficit

27.1.7 **Gross Fiscal Deficit (GFD) vs NET fiscal Deficit**



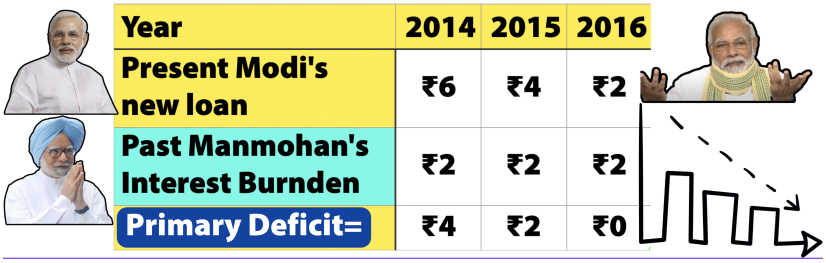


➔ **Gross Fiscal Deficit** = Net borrowing at home + Borrowing from RBI + Borrowing from abroad (सकल राजकोषीय घाटा)

➔ **Net Fiscal Deficit** = Gross Fiscal Deficit (GFD) minus the net lending of the central government. (शुद्ध राजकोषीय घाटा)

FAQ: RBI is also 'at home in India' so why show it separately in formula? Ans. NCERT given it like that. so u've to prepare. NCERT didn't bother to explain "WHY" so I didn't bother to PHD.

27.1.8 Primary Deficit (प्राथमिक घाटा)



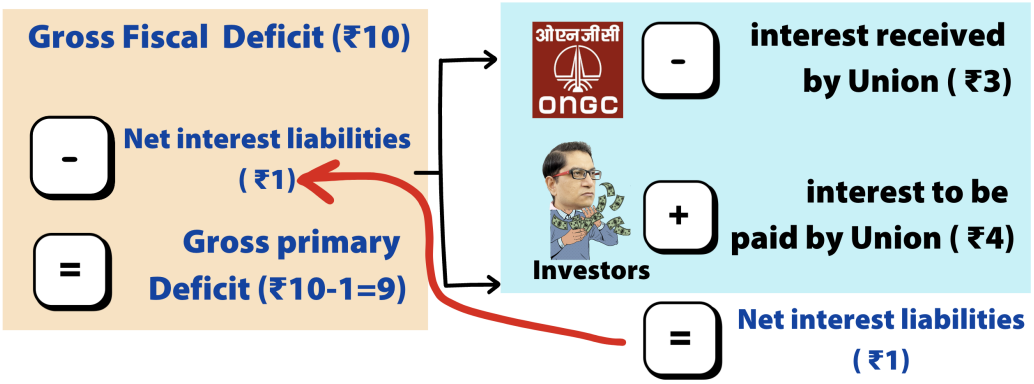
Year	2014	2015	2016
Present Modi's new loan	₹6	₹4	₹2
Past Manmohan's Interest Burnden	₹2	₹2	₹2
Primary Deficit=	₹4	₹2	₹0

Figure 1: Note: these are fake numbers, just for simple example!

- PD = Fiscal Deficit minus interest to be paid on previous loans (राजकोषीय घाटे में से पुराने ऋण/कर्ज पर जो ब्याज चुकाना है उसे हटा दीजिए.)
- 1993: Finance Minister **Manmohan** Singh's budget speech mentioned it.
- If the govt continues to borrow year after year, it leads to accumulation of debt and the govt has to pay more and more interest. These interest payments themselves add more burden to borrow next year. (पुरानी लोन पर जो ब्याज चुकाना है उस रकम को घाटे की गिनती में नहीं लेना चाहिए)
- So, to get a clearer picture of how much is the government borrowing for new programs, they look at another indicator: (ताकि नए वर्ष में विकास के काम के लिए इतना वास्तविक कर्ज लिया जा रहा है उसका पता चले)
- From 2020-25 a decline in the primary deficit (as % of GDP) indicates that fresh borrowings are now increasingly being used to service past interest obligations rather than to finance current spending. Says ES26. (अधिकतर लोन केवल पुराने ब्याज चुकाने के लिए लिया जा रहा है।)
- if PD = 0 means the government's current income is sufficient to meet its non-interest expenditure; and govt borrowing is only to service past debt.

27.1.9 Gross Primary Deficit (GPD: सकल प्राथमिक घाटा)

Gross primary deficit = Gross fiscal deficit MINUS Net interest liabilities.



-🚩👶 **FAQ :** 1) Formula for net primary deficit? Ans. Similar to above. i.e. = Net Fiscal Deficit minus net interest liabilities = Net Primary Deficit.

-🚩👶 **FAQ :** 2) difference between Primary Deficit vs Gross Primary Deficit. Ans. Read Yudhisthir disclaimer on deficit formulas.

-🚩👶 **FAQ :** 3) Shouldn't "X" thing have Plus sign or Minus sign? Ans. Accept & memorize.

27.2 (📥<📤)⏰⚠️ Revenue Deficit (राजस्व घाटा)

⇒ When govt spends more than its income in revenue account, it incurs …

⇒ Revenue deficit = Revenue expenditure – Revenue receipts. (व्यय ज्यादा आमदनी कम)

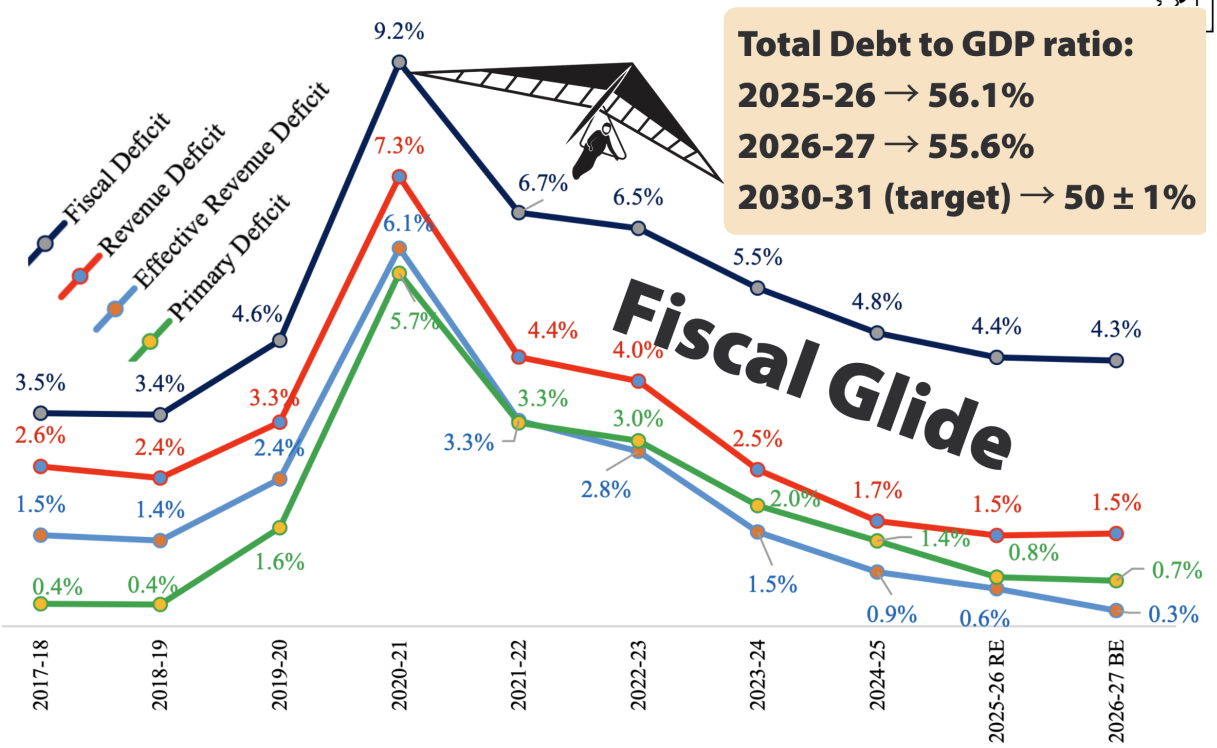
⇒ Since most of revenue expenditure is 'committed' (like Interest repayment on previous loans, staff-salaries & pensions which Govt can't 'avoid'), so difficult to ⬇ the revenue deficit.

⇒ So, when revenue deficit ⬆, govt forced to borrow more money or ↓ ↓ expenditure in the capital part (= less new schools, bridges and hospitals) → ↓ ↓ human dev, and lower economic growth (less new bridges → ⬇ demand of steel/cements → ⬇ growth in those sectors).

Deficit	Formula
Revenue Deficit राजस्व घाटा	Revenue expenditure – Revenue receipts जब राजस्व खर्च राजस्व आय से ज्यादा
Effective Revenue Deficit प्रभावी राजस्व घाटा	Revenue Deficit minus Grants for creation of capital assets

27.3 (📥<📤)⏰⚠️ Effective Revenue Deficit (प्रभावी राजस्व घाटा)

- We've counted Grant-in-Aid to States / Local Bodies as 'Revenue Expenditure', but some portion of that ₹₹ may have been spent by the States / Local Bodies for building Panchayat-Bhavans, Disaster Management Training Institutes, Cranes & Bulldozers for Disaster rescue operations etc. which are actually "Capital Assets". (पूंजीगत संपत्तियां)
- Therefore, Budget 2011 (Chidambaram) introduced a new concept:
- **Effective Revenue Deficit** = Revenue Deficit MINUS Grants to various bodies which were spent for creation of Capital Assets



(₹ करोड़) (In ₹ crore)

FD = Budget Deficit + Borrowing
PD = FD (-) interest on past loans
ERD = RD (-) grants for capital assets

		2024-2025 वास्तविक Actuals	2025-2026 बजट अनुमान Budget Estimates	2025-2026 संशोधित अनुमान Revised Estimates	2026-2027 बजट अनुमान Budget Estimates
1. राजकोषीय घाटा	1. Fiscal Deficit	1574431	1568936	1558492	1695768
		(4.8)	(4.4)	(4.4)	(4.3)
2. राजस्व घाटा	2. Revenue Deficit	564296	523846	526764	592344
		(1.7)	(1.5)	(1.5)	(1.5)
3. प्रभावी राजस्व घाटा	3. Effective Revenue Deficit	291640	96654	218613	99642
		(0.9)	(0.3)	(0.6)	(0.3)
4. प्राथमिक घाटा	4. Primary Deficit	458856	292598	284154	291796
	( ) brackets show % in GDP	(1.4)	(0.8)	(0.8)	(0.7)

27.3.1 Fiscal glide

Fiscal glide refers to the gradual adjustment/decrease in fiscal deficit over time to maintain economic stability. (हॉले-हॉले/धीरे-धीरे घाटे को कम करना, ताकि देश की आर्थिक स्थिरता बनी रहे।)

MCQ. Find Correct Statement(s) (Asked in UPSC-Pre-2017)

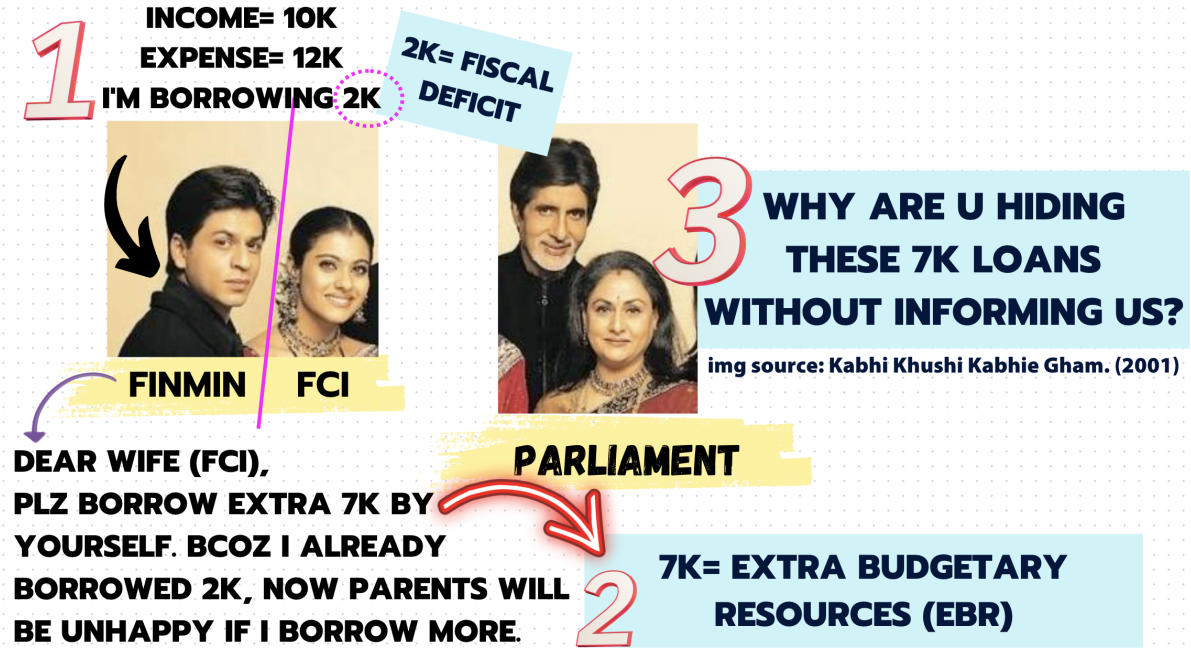
1. *Tax revenue as a percent of GDP of India has steadily increased in the last decade.*
2. *Fiscal deficit as a percent of GDP of India has steadily increased in the last decade.*

Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

MCQ. A country's fiscal deficit stands at ₹50,000 crores. *It is receiving ₹10,000 crores through non-debt creating capital receipts. The country's interest liabilities are ₹1,500 crores. Then What is the gross primary deficit? (Pre'25) (a) ₹48,500 crores (b) ₹51,500 crores (c) ₹58,500 crores (d) None*

🔤 ***MCQ. Suppose the revenue expenditure is ₹ 80,000 crores and the revenue receipts of the Government are ₹60,000 crores.*** *The Government budget also shows borrowings of ₹ 10,000 crores and interest payments of ₹6,000 crores. Which of the following statements are correct? (Pre'25)*
I. Revenue deficit is ₹ 20,000 cr. II. Fiscal deficit is ₹10,000 cr. III. Primary deficit is ₹ 4,000 cr.
Codes: (a) I and II only (b) II and III only (c) I and III only (d) I, II and III.

27.4 💼🤲👜🤲 Extra-Budgetary Resources (बजटेतर संसाधन)



'Extra Budgetary Resources' (EBR) or 'Off-budget resources' are loans taken by public sector undertakings and Government organizations. (सरकारी निगम संस्थानों द्वारा कर्ज लिया जाना) For example,

- Govt not releasing food subsidy to Food Corporation of India (FCI) & (thereby forcing) FCI to borrow money from National Small Savings Fund (NSSF) for its food schemes. [Although 💼 Budget-2021 announced to stop this practice].
- Here repayment of the entire principal and interest is done from the Central Government Budget eventually, behind the curtains. (पर्दे के पीछे सरकार देरी से पैसा देगी)
- EBR measures are announced after passing of budget so, they may escape the same general level of media-reporting, parliament debate or audit = bad for financial transparency & accountability. मीडिया-रिपोर्टिंग, संसद बहस या ऑडिट से छिपना = वित्तीय पारदर्शिता और जवाबदेही के लिए बुरा।
- Both 15th FC and 16th FC asked government to stop this.
- These EBRs are not taken into account while calculating the Fiscal Deficit but they're counted while calculating Government debt or public debt. While union (mostly) stopped, bcoz some states still doing it.

FISCAL YEAR	2020–21	2021–22	2022–23 & 2023–24
E.B.R	₹148000	₹121000	₹0

27.5 DEBT COMPOSITION: AMOUNT-WISE

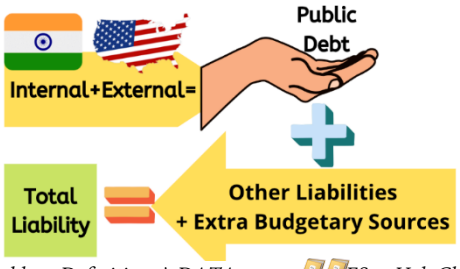


Table 1: Definition & DATA as per ES22 Vol1Ch2.

Outstanding Loan (बकाया क़र्ज़)	**2021-22**
i) **Internal** Debt (आंतरिक ऋण)- all the pending loans total A. **Non-marketable debt** = Special types of securities/bonds issued by Union Govt to EXIM Bank and other All India Financial Institutions (AIFI), State Govts etc. They may not be allowed to re-sell such securities/bonds in the secondary market. B. **Marketable debt** = Government's dated securities (G-Sec) and Treasury Bills, issued through auctions. Investor can be easily **resell it in secondary market.** ○ **Subtype#1**: Fixed interest pre-decided by RBI ○ **Subtype#2**: Floating Interest e.g. LIBOR+2% (check 1C1 for this) ○ **Subtype#3**: Issued in **auction**, where investors bid interest rate. Majority of Govt's internal debt is **marketable debt →subtype Auction-walli**.	115 Lcr
ii) **External** Debt (बाह्य ऋण) ✓ Borrowed from other nations and multilateral institutions such as IMF, World Bank, ADB etc. ✓ At present Govt of India doesn't borrow directly from the International Capital Market.	6.59 Lcr
A) Public Debt (सार्वजनिक ऋण)= (i) + (ii)	121 Lcr
B) (Public Accounts): Other Liabilities such as Post Office Savings, Postal Insurance, Provident Fund etc. small savings schemes (लघु बचत योजना) (More in Pillar#1D3)	12 Lcr
C) Extra Budgetary Resources (बजेटेतर संसाधन)	1.39 Lcr
Total Liability (कुल देयता) = A+B+C	134 Lcr

MCQ. Find correct statements (Prelims-2022) :

1. A share of the household financial savings goes towards government borrowings.
2. Dated securities issued at market-rates in auctions form a large component of internal debt.

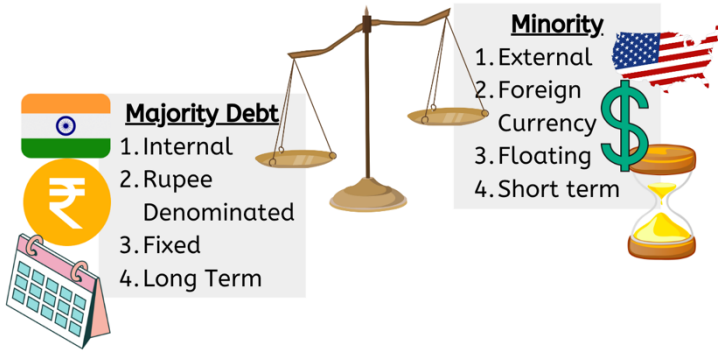
Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

FAQ: Why are above numbers not matching fiscal deficit numbers!!?? Ans. Fiscal deficit number only shows loan taken in a single financial year. Above is the cumulative (total) outstanding/unpaid loans of successive Govt (Vajpayee, Manmohan, Modi…..etc) (ये कुल बकाया कर्ज दिखा रहा है)

FAQ: Why are above numbers not matching Extra Budgetary Resources numbers in previous section !!?? Ans. same as previous FAQ answer.

FAQ: Is EPFO/NPS amount included in above? Ans. EPFO/NPS invests money in 1) Pvt sector company Shares, 2) private sector company Bonds and 3) G-Sec (=Loans to Govt). The G-Sec components is included.

27.5.1 Debt Composition of Government: Type-wise



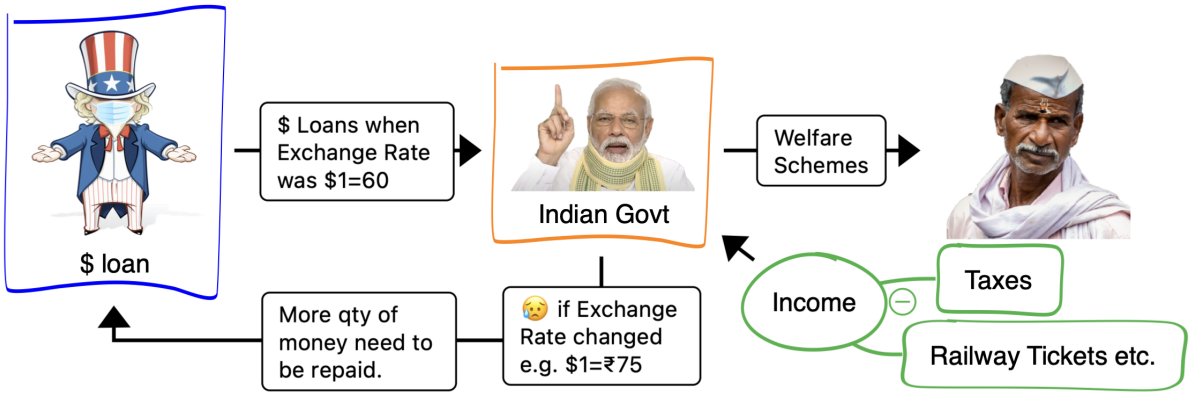
Out of loans	majority	Minority
Total Public Debt as per Eco Survey	State Govt (70%)	Union (30%)
Total Public Debt as per Kerala Govt in SC	State Govt (40%)	Union Govt (60%)
Union Debt → (Source)	Internal (94%)	external/foreign (6%)
Repayment Currency	Rupee	Foreign Currency (जो कर्ज विदेशी मुद्रा में वापस करने हैं)
Union Debt → (Interest Type)	Fixed Interest (निश्चित ब्याज दर)	Hardly 5% of Govt loans are 'floating interest rate' (e.g. tied with LIBOR etc REF#1C).
Tenure (अवधि)	Long Term (दीर्घ अवधि)	Short Term (लघु अवधि)

27.5.2 Govt Debt: Nature and interest as per ES26:

Matter	Data
Nature Debt	~65% of the government's total liabilities are marketable securities (G-Secs).
Interest Rate	→ fell from 7.11% (FY25) ☒ 6.65% (FY26).
Tenure	Average 13–19 years.

- Due to global economic turmoil, institutional investors kept rebalancing their portfolios. So there have been some ups and downs in the G-sec yield.
- ES26 gave a longwinded analysis of it. But if some MCQ is asked, better solve it through the concepts/logic we had learned in Pillar1 related to Bonds.

27.5.3 Foreign Borrowing in Foreign Currency *(विदेशी मुद्रा में कर्ज लेना)*



Introduction (Origin): In the Budget-2019, FM Nirmala S. announced, "India's sovereign external debt to GDP is among the lowest (~5%). The Govt would start raising a part of its borrowing programme in external markets in external currencies." However, critics argued this will backfire when rupee weakens in future & we've to repay in dollars. Later, plan not implemented.

Conclusion: whether we should borrow in foreign currency or not?

⇒ 👎 **(Against)** From the aforementioned analysis, it's evident that challenges outweigh the potential benefits. Noted economists such as Dr. Raghuram Rajan are apprehensive about sovereign borrowing from external markets in foreign currency. Therefore, this idea, though well-intended, requires more deliberation. (इस प्रस्ताव में फायदे कम नुकसान ज्यादा दिख रहे हैं इसलिए इरादा नेक है लेकिन इस पर ज्यादा विमर्श की आवश्यकता है)

27.5.4 Budget: Foreign/ external Borrowing DATA

Amt in ₹Cr	2022–2023	2023–2024	2024–2025	2025-26	2026-27
External Debt	37,124	24,832	47,000	20,000 cr	15,000

ES23: Majority of foreign debt taken by Indian Govt is ₹₹ Currency. So need not worry much.

27.6 FINANCING THE DEFICIT: ITS NEGATIVE CONSEQUENCES ON ECONOMY:

घाटे का वित्तपोषण: अर्थव्यवस्था पे उसके नकारात्मक परिणाम

How to fill deficit?	😰Why problematic / impractical? क्या समस्याएं/व्यावहारिक क्यों नहीं है
🍋🍋**1) Demanding more taxes जनता पर ज्यादा कर लादे जाएं**	⇒ Taxes can't be ↑↑ beyond a point because it may force people to evade taxes / discourage their motivation to work. (recall Laffer Curve). करो का स्तर बहुत बड़ा दिया तो लोग करचोरी करेंगे
🤲🤲 **2) Borrowing more money सरकार द्वारा ज्यादा पैसा कर्ज में लिया जाए**	⇒ Ricardian Equivalence: ↑↑ Government borrowing → ↓↓ public shopping = bad for economy. Although 📦📦ES21 says this will not happen in India. ⇒ Crowding out of the private borrowers Although 📦📦ES21 says this will not happen in India. ⇒ Fall in the sovereign credit rating. Although 📦📦ES21 says this will not happen in India.
🖨️🖨️**3) Printing**	⇒ Although known as Monetising the deficit- it results in

How to fill deficit?	😨Why problematic / impractical? क्या समस्याएं/व्यावहारिक क्यों नहीं है
More money	hyperinflation (दे दना दन नोट छाप दिया जाए तो महंगाई बहुत बढ़ जाएगी)

27.6.1 ⚖️🤲 Automatic financing of the deficit vs Market based financing

Automatic financing	Market-based financing
Whatever amount of loan the government wants, the central bank will give it from its own funds.	The central bank only acts as the public debt manager to issue G-Sec/T-bill, etc., to investors.
Sometimes, it may involve central banking printing more money just to finance the deficit; this is known as **monetizing** the deficit— it results in hyperinflation.	It does not involve careless printing of money because investors are giving money, not the central bank.

Timeline of reforms

- after Independence upto 80s, finance ministry would issue Ad-hoc treasury bills, and randomly borrow money from RBI without limits. (Ad-hoc : अस्थायी/ जब भी जरूरत महसूस हुई)
- 1994: FM ManMohan Singh announced, "Govt should not be able to automatically finance its deficits by creating money, through unlimited recourses to the RBI. We will stop this. And from 1996–97 we'll replace the ad-hoc treasury bills replaced by WMA. (Ref: Pillar#1C1 for WMA)
- 2003: FRBM Act prescribes market-borrowing limits on Union & states

🔠 MCQ. Which one of the following measures made monetary policy independent of fiscal policy in India? (GPSC'25) (A) Nationalization of banks in 1969 and 1980 (B) Privatization of banks in 1991–92 (C) Ending the practice of automatic financing of fiscal deficit by the RBI in 1994 (D) Setting up of monetary policy committee and adoption of inflation targeting framework in 2016

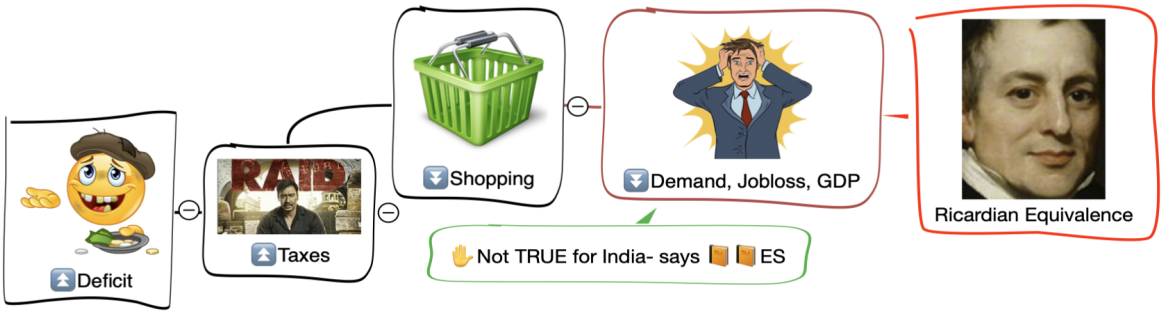
27.6.2 💼🤲↑↑ :🛒↓↓ Financing the Deficit: Ricardian Equivalence

✔ ↑↑ deficit → Government borrows ↑↑ money → @Maturity (also called 'Redemption') of G-Sec, Govt will have to return the principal and interest to the lenders.

✔ At that time, Govt may greatly increase taxes on people to arrange that amount.

✔ So, Economist David Ricardo argued that during high deficits, people save more, because they become precautious about future hike in taxes.

✔ It's called **"Ricardian equivalence: रिकार्डियन तुल्यता"** [& if people begin to spend less and save more, then companies will face unsold inventories = new problems for economy]

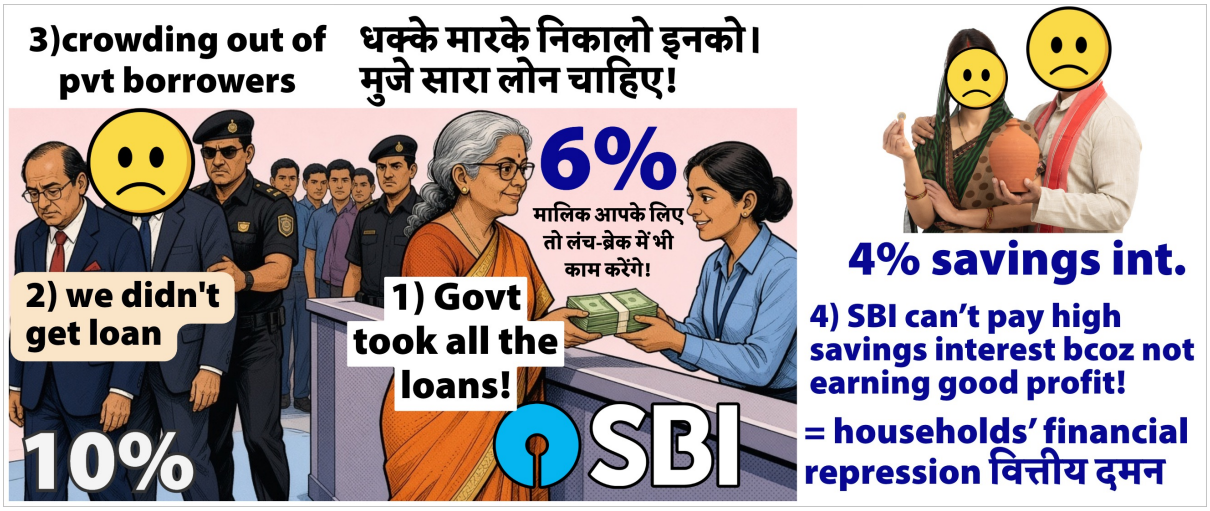


27.6.3 💼🤲↑↑ :🛒↓↓ Ricardian Equivalence invalid for India says 📦📦ES21

📦📦ES21 cited multiple Research about Indian Economy (1950s-80s) & found REP to be NOT valid for India Because...

Ricardian Equivalence Proposition (REP) Assumes that (निम्न धारणाएं आवश्यक है)	Why invalid for India? भारत में यह सिद्धांत गलत क्यों साबित हुआ?
Citizens are perfectly rational and perfectly capable to think about Future income, future tax liability, fiscal deficit when making their consumption decisions. डेविड रिकार्डो की तुल्यता सिद्धांत सही साबित होने के लिए सभी नागरिकों का तर्कसंगत और बुद्धिमत्ता से सोच विचार के लिए सक्षम होना जरूरी- कि भविष्य में उनकी आमदनी, कर-दायित्व, राजकोषीय खाध, उपभोक्ता मांग कितनी होगी.	Shopping decisions also depend on emotional urges and psychological whims e.g. Marriage-DJ/iPhone/Foreign vacation. ग्राहक सभी निर्णय तर्कसंगत बनकर नहीं लेते. भावनात्मक आग्रह और मनोवैज्ञानिक सनक भी आप को खरीदारी के लिए उत्तेजित करती है
All citizens are paying taxes. डेविड रिकार्डो की तुल्यता सिद्धांत सही साबित होने के लिए सभी नागरिकों का करदाता होना जरूरी	Tax Evasion, Black money, parallel economy. भरपूर मात्रा में कर चोरी, काला धन

27.6.4 Financing the deficit: "Crowding Out" of private borrowers



- ✔ If govt borrows ↑↑ money from households & financial intermediaries (LIC, EPFO, Banks via SLR), then that much less money will be available for loans to private corporate borrowers. = " Crowding Out Effect" on the private borrowers= harms factory expansion and job creation. (कॉरपोरेट उधारकर्ताओ को ऋण बाजार से बाहर धकेल देना)
- ✔ If Govt forces SBI, LIC, EPFO to buy its G-sec using public deposits → depriving households of the optimal return (Had the same money been invested in the corporate sector) = " **Financial Repression of the households."** (परिवारों / बचतकर्ताओ का वित्तीय दमन".)
- ✔ example, Govt (forced) NABARD to buy its ₹ 15,000 crore Swachh Bharat Mission (Gramin) Bonds with maturity period of 10 years. → operational freedom NABARD is affected.

MCQ. Which describes the 'Crowding Out Effect' in the context of fiscal policy? (IAS-2026)

(a) A situation where private investment increases due to increased Government spending

(b) A situation where Govt borrowing leads to higher interest rates, which reduces private investment

(c) A situation where an increase in taxes leads to increased private sector investment

(d) A situation where Government spending has no impact on aggregate demand

🔠 **MCQ. India's fiscal deficit widens significantly due to increased government spending on subsidies while tax revenue remains unchanged. Which one of the following is the most likely consequence? (CDS-II-2026)**

- (a) Inflation will rise, interest rates will fall, and private investment will increase
- (b) Inflation will rise, interest rates may rise, and private investment may slow down
- (c) Inflation will fall, interest rates will rise, and private investment will increase
- (d) Inflation will fall, interest rates will fall, and GDP growth will accelerate

27.6.5 💼👐 Crowding out of private investment? 📚📚ES21 Observations

- Basically says that 1950-90s ke time pe (i) Publics' earnings and savings were low and (ii) Capital market / share-bond Market was underdeveloped so both government and pvt companies relied/competed to get bank loans so 'crowding out' happened.
- But in Modi raj- it is not happening as both factors have improved.

27.6.6 💼👐 Financing the deficit: Printing More Money / monetization of debt



- When central bank prints more money to pay for government's loans → called "Monetizing the Deficit". **(मुद्रीकृत घाटा: सरकारी कर्ज के लिए रिजर्व बैंक द्वारा दे दना दन नोट छापे जाए).**
- It can result in hyperinflation and ↓↓ the purchasing power of currency (if there is not sufficient increase in the supply of onion, tomatoes & goods in the market. e.g. Germany, after Treaty of Versailles in 1919. जाने पर महंगाई दर/मुद्रास्फीति को अप्रत्याशित रूप से बढ़ जाएगी)
- Therefore, "Monetizing the Deficit" is also called "**inflating away of debt**".

FRBM Act prevents monetization of deficit- with following provisions: 👇

- Normally, RBI must not subscribe to the G-Sec in primary market from 2006-07 onwards. [**Refer Pillar1A2:** Monetary policy for more on this matter.]
- Normally, Govt shall not borrow from RBI, except Ways & Means Advances [Ref: #1C]

27.6.7 Direct vs Indirect monetisation - PHD not imp

Some mock-test walla asking, But this much PhD NOT imp after observing the PYQs.

27.6.8 💼👐 Fiscal Deficit ↑↑ = India sovereign rating ⭐⭐↓↓ ?? don't worry says ES

Table 2: classification not important, sufficient to know AAA=best.

Rating →	sovereign rating (सरकारी प्रतिभूतियों का रेटिंग/श्रेणीकरण)
Prime अग्रिम/उच्चतम दर्जे	Aaa (e.g. US Treasury Bonds). However, 2025-US government's credit rating was downgraded from AAA to AA1, due to increasing debt ($40 trillion in 2026)
High grade / उच्च	AA1 to 3
investment grade: Upper	A+, A, A-

investment grade: medium	BBB+,BBB,BBB- range
Non investment grade (junk / रद्दी)	C, D grades e.g. Pakistan

So, now if India's sovereign rating ↓ ↓ any step further= junk status= **Implications?**😨

⇒ Next time issuing fresh G-Sec, Govt will have to offer more interest to investors to lure them.

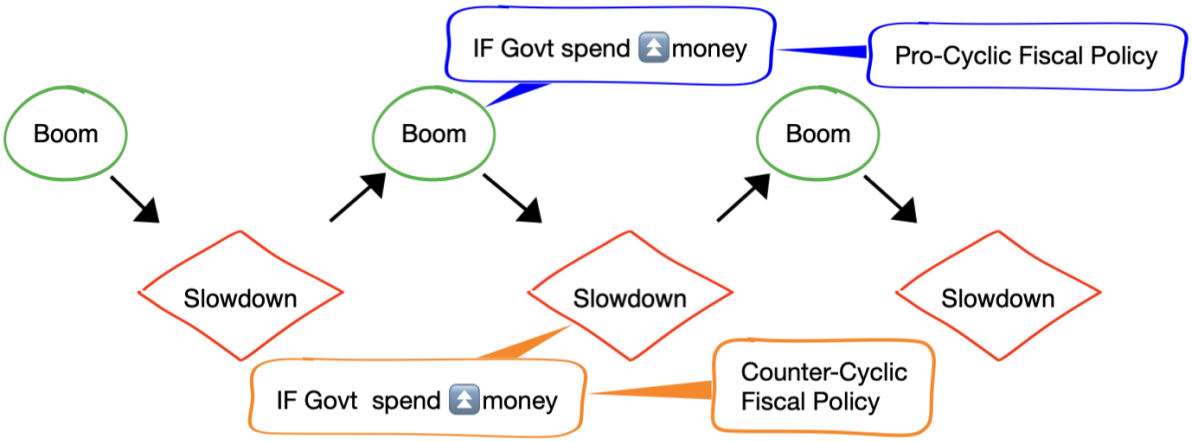
⇒ Foreign investors may fear Indian govt will default in payment of previous G-Sec

⇒ So they'll dump it to other investors and run away from India. Flight of Foreign Capital from India → $ strengthen, rupee weakens. (Why? Ref: pillar3)

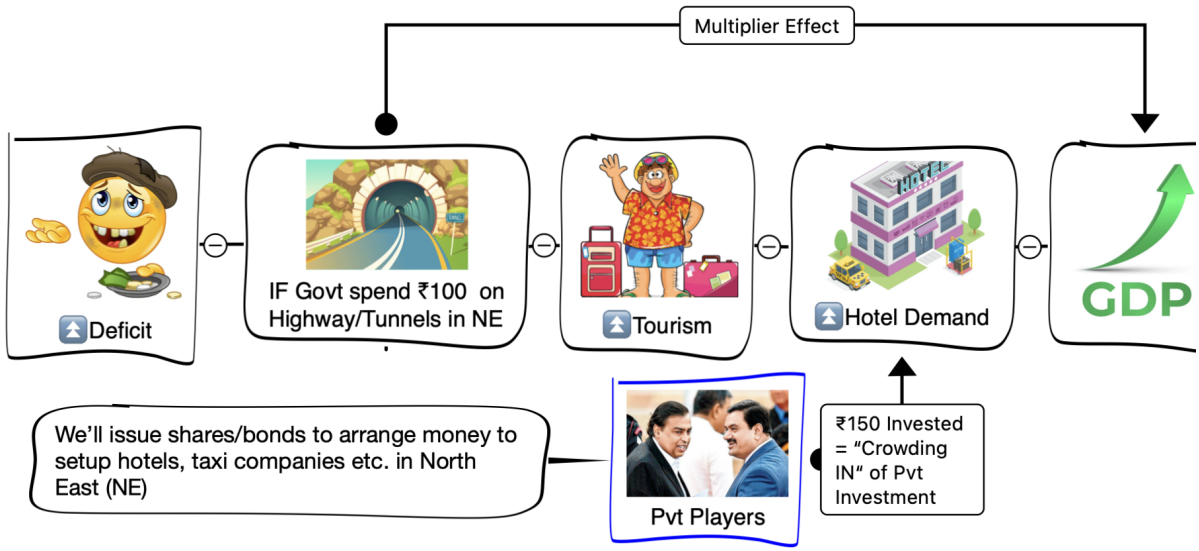
⇒ However, 📦📦ES21 said we need not worry, bcoz foreign investors trust India's growth story!!!

⇒ 2026: Japan Credit Rating Agency (JCR) to upgrade India's Rating to 'A-'.However, Standard & Poor (S&P) and other Western rating agencies, keep it around BBB. Indian Eco Surveys blame western agencies of being biased against India.

27.7 💼💉💸💸COUNTERCYCLICAL POLICY (प्रतिचक्रीय राजकोषीय नीति)



(Introduction: Origin) Indian Kings used to build palaces, temples, mosques etc during famines to provide employment. Thus, during an economic slowdown, the Govt must spend more ₹₹ to achieve a similar objective. (अकाल के दिनों में राजा महाराजा महल मंदिर और मस्जिद बनवाते, ताकि लोगों को रोजगार मिले. आर्थिक मंदी के समय में सरकार ने भी कुछ ऐसा ही करना चाहिए)



Counter	⇒ During economic slowdown → ↑↑ Increase Fiscal expenditure to boost

cyclical Fiscal policy **प्रतिचक्रीय राजकोषीय नीति** **(Expansionary fiscal policy)**	employment & GDP. ⇒ It helps in "**Crowding-in**" i.e. When govt spending ↑↑ increased → private investment ↑↑ e.g. Govt building highway in Arunachal → Private entrepreneurs building petrol pumps & hotels → jobs GDP. आर्थिक मंदी के दौरान सरकारी खर्च को बढ़ाया जाए-ताकि निजी क्षेत्र निवेश रोजगार आर्थिक वृद्धि में मदद. ⇒ During economic boost: ↓↓ Decrease govt spending (So as to build reserves for future emergency/future slowdown) आर्थिक तेजी में सरकारी खर्च को कम किया जाए ताकि सरकार भविष्य की मंदी के दौरान इस्तेमाल करने योग्य रकम को आरक्षित रख सके/जमा कर सकें. ⇒ USA, UK, Chile have done this in the past, but India has not done it. ES21 Suggested India to pursue this.
Pro-Cyclical fiscal policy	⇒ During economic Boom, ↑↑ Fiscal expenditure ⇒ चक्रीय-समर्थक राजकोषीय नीति ↑↑ आर्थिक तेजी के दौरान सरकार ज्यादा पैसा खर्च करें

MCQ. Which best explains the "crowding-in effect" observed in India? (CDS-II-2026)

- (a) Reduction in private sector borrowing
- (b) Public investment leading to increase in private investment
- (c) Decline in fiscal deficit - (d) Increase in imports due to higher demand

MCQ. The increase in private investment spending induced by the increase in Government spending is known as (CDS-2021-i)

(a) Crowding in (b) Deficit financing (c) Crowding out (d) Pumping out

MCQ. What is expansionary fiscal policy? (GPSC'25) [Hint: Counter-cyclic]

(A) Decrease in direct and indirect tax rates and increase in public expenditure

(B) Decrease in direct and indirect tax rates and decrease in public expenditure

(C) Increase in direct and indirect tax rates and decrease in public expenditure

(D) Increase in direct and indirect tax rates and increase in public expenditure

MCQ. Find Correct: (GPSC'25)

1. To control inflation, repo rate should be decreased by the RBI

2. To tackle recession, the government should increase its expenditure

Code: (A) 1 only (B) 2 only (C) Both 1 and 2 (D) Neither 1 nor 2

27.7.1 Countercyclical: IRGD & Debt Sustainability

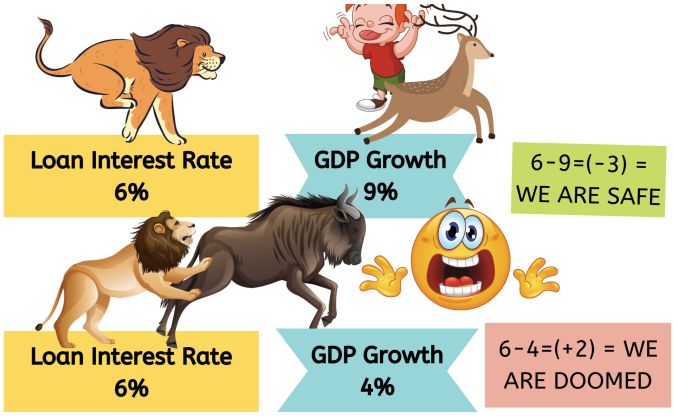
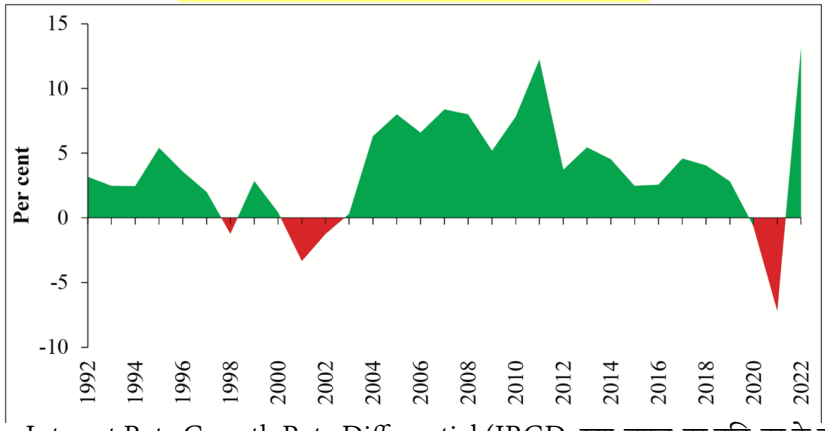


Figure III.18: Growth-interest rate differential for India



⇒ Interest Rate Growth Rate Differential (IRGD: ऋण-ब्याज-दर वृद्धि-दर के बीच अंतर): It is the difference between (loan) interest rate (paid by Govt to investors) and GDP growth rate in an economy.

⇒ so if loan interest 6% - minus growth rate 9% = (-3)% negative IRGD figure basically hints that if GDP Growth rate is higher than the loan interest rate paid by the govt, then Govt need not worry much, because GDP↑↑ → Tax collection ↑↑ → Enough ₹₹ to repay those loans. यदि सरकार ने जिस ब्याज दर पर कर्जा लिया है उसे आर्थिक वृद्धि दर ज्यादा हो तब तक सरकार ने चिंता करने की जरूरत नहीं क्योंकि आर्थिक वृद्धि के चलते कर-आमदनी में बढ़ोतरी होगी →कर्जा चुकाने के लिए सरकार के पास रकम आती रहेगी.

Title	Formula	Comment
Interest Rate Growth Rate Differential	Loan interest minus GDP growth: 6-9= Minus 2	Negative number is good for economy.
Growth Rate Interest Rate Differential	GDP growth minus Loan Interest: 9-6 = Plus 2	Positive number is good for economy.

FAQ: so which formula is right in above table? Ans. Both are right. depends on context whether u're doing A-B or B-A. Enough to know that as long as GDP growth rate >> greater than (govt's loan) interest rate = economy is will remain safe/stable.

⇒ ES23: our growth-interest rate differential positive. Our govt debt to GDP is sustainable.

27.7.2 Countercyclical: Domar Condition of Debt Sustainability

⇒ Economist Evsey Domar (1944) stated that, "Public debt of a country will be sustainable, IF GDP growth is greater than the public debt growth rate.

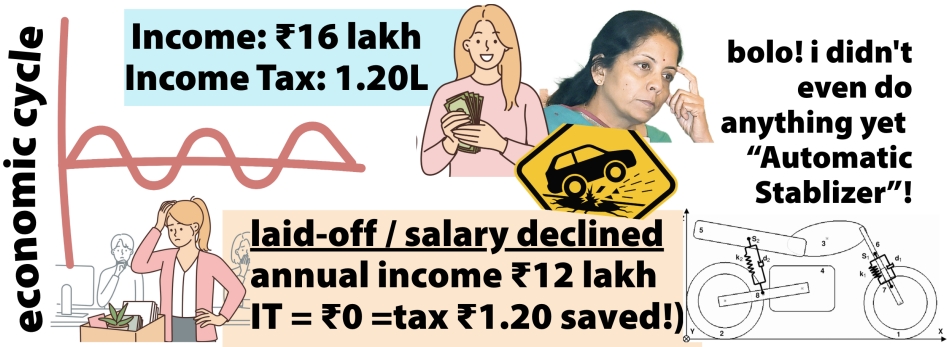
⇒ Otherwise government may default on loan-repayment." (यदि देश का आर्थिक वृद्धिदर, उस देश के सार्वजनिक कर्ज़ वृद्धिदर से ज़्यादा होगा तो सार्वजनिक क़र्ज़ वहनीय हो पाएगा, वरना तो सरकार दिवालियापन दिखा देगी/ कर्ज़ नहीं चुका पाएगी।)

⇒ More on GDP Growth = Ref: HDT-Pillar#4C: GDP

27.7.3 Golden rule of Govt spending (सरकारी ख़र्च का स्वर्णिम सिद्धांत)

- ✅ Government should borrow only to invest for long-term projects (e.g. infra, highway, hospitals, etc type capital expenditures).
- ✋ Government should NOT borrow to fund current spending (e.g. subsidy, salary, etc., type revenue expenditures).
- Such current spending should be funded by collecting taxes.
- Origin: 1997- EU nations adopted it under Stability and Growth Pact (SGP); however, post-COVID-19, most of these nations had to postpone it.

27.8 AUTOMATIC STABILIZER- INCOME TAX (स्वचालित-स्थिरीकारी)



⇒ Automatic stabilizers are mechanisms built into govt budget to address economic slowdown automatically- by automatically increasing govt's spending and/or decrease public's tax liability. ["स्वचालित-स्थिरीकारी' - आर्थिक मंदी के दौरान अपने आप सरकारी ख़र्च को बढ़ाता है या जनता की कर-देयता को कम करता है]

⇒ Examples of **Automatic Stabilisers:** Income tax, Corporation tax, unemployment allowance, food subsidy and other Government schemes that are meant only for poor /lower middle class people. [आयकर, निगम कर, गरीब के लिए लक्षित खाद्य सब्सिडी और दूसरी कल्याणकारी योजनाएं- "स्वचालित-स्थिरीकारी' है]

Note: Countercyclical fiscal policy / GST 2.0 / fiscal stimulus /Repo rate cut = it requires the government/RBI to take some new initiatives. So, they are not automatic stabilisers. They are **discretionary stabilisers.** [वे विवेकाधीन स्थिरीकारी है।]

MCQ. Which is as an automatic stabilizer? (CAPF-2021)

(a) income tax (b) Reverse repo (c) Open market operation (d) Bond price.

27.8.1 Disposable income & marginal propensity to consume (MPC)

- Disposable income = Personal income -minus Personal income taxes.
- Disposable income means the money that is available for consumption (spending) and saving after paying the direct taxes (e.g. Income tax).

27.8.2 Multipliers various types of

Multiplier	Meaning
Autonomous expenditure multiplier (AEM)	Autonomous expenditure= you have to buy it irrespective of your income level e.g. food, shelter, medicine. AEM = ↑/ ↓change in autonomous spending will result in how much ↑/↓ in GDP/income/output
Govt expenditure multiplier	↑/↓ change in Government expenditure will result in how much ↑/↓ in GDP/income/output
Balanced budget multiplier	↑/↓ change in Unit (Tax & Govt Expenditure of a balanced budget) will result in how much ↑/↓ in GDP/income/output (see next section for more)
Tax Multiplier	↑ Tax= ↓ GDP so **Tax multiplier is a negative multiplier**

27.8.3 Balanced budget multiplier = 1 how?

- Note: the real explanation requires complex graphs and lengthy narration.
- We don't have time for it. So, I am giving a technically not accurate / jugaad-explanation.

- GDP = C+I+G+X-M (Will understand this formula in pillar4D)
- now suppose, I = 0, X = 0 and M = 0. Then GDP = Consumption + Govt expenditure

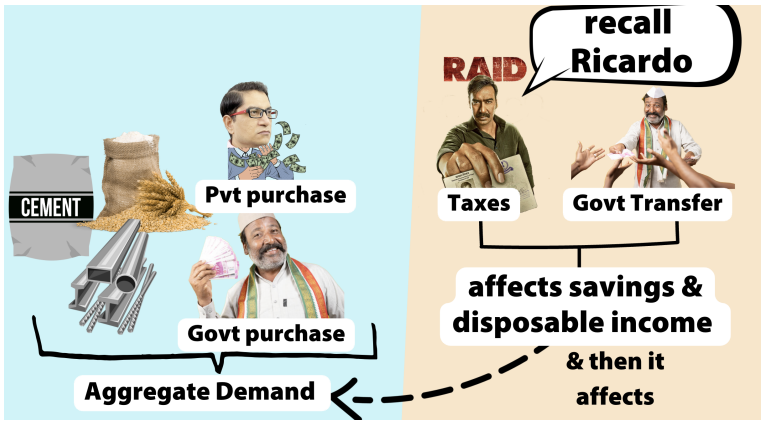
Matter	Consumption (C)	+ Govt expenditure (G)	C+G =GDP
BEFORE	200	100	300
AFTER	100 ↓ (reduced due tax multiplier ki negative effect)	200 ↑ (increased by govt Expenditure)	300 (unchanged)



In the above, example, GDP has increased by how much times? Ans 300/300 = 1X times only!

Above problem will come in balance budget because, if government wants to increase expenditure (while keeping the budget balanced, without borrowing) → Govt will have to increase the taxes → will reduce the consumption (due to negative tax multiplier)

27.8.4 Effects of Budget/Fiscal policy on Demand & Savings



27.8.5 THREE Functions of Govt Budget



Allocation
(आवंटन)



Redistribution
(पुनर्वितरण)



Stabilisation
(स्थिरीकरण)

Function	Example / Meaning
Allocation	Government provides certain goods and services which cannot be provided by the market e.g. national defence, police, roads, railways etc. These are called public goods.
Redistribution	Collect more taxes from the rich and use it for welfare of the poor.
Stabilisation	During the economic slowdown, govt should spend more money to stabilise the economy. Read the "counter-cyclic fiscal policy" section for more.

27.9 MISC TERMS RELATED TO DEFICIT FINANCING

Table 3: need not do PHD on it unless Optional Subject=Public Administration

Methods	for repaying debt (ऋण चुकाने के अलग अलग तरीके)
Redemption (भुगतान)	Repay the loan principal and interest at regular interval. Also known as **Terminal Annuity. अनुशासन पूर्वक मूलधन और ब्याज धीरे-धीरे वापस चुकाना**
Sinking Fund (निक्षेप निधि)	Govt creates a special fund & keeps depositing money in it regularly. So at the time of G-sec maturity, it has enough 'buffer' money to honor the loan repayment. First introduced in **England.**
Conversion / restructuring	पुनर्गठन : Converting old loan into new loan with modifications in interest / tenure. (पुरानी लोन के ब्याज दर या अवधि में बदलाव करना) 2020-Nov: Zambia became Africa's 1st nation to default on its Euro loans due to Corona. Experts believe some restructuring may be done.
Evergreening	Taking new loan to repay the old loan (पुरानी लोन चुकाने नया कर्ज लेना)
Repudiation (परित्याग / बहिष्कार) **कर्ज चुकाने से मना कर देना**	Govt does not recognize its obligation to repay the loan. E.g. After Russian Revolution (1917) Lenin's Government refused to pay the loans taken by the previous Czar regime from Britain & France. ~~Although, in modern times not a sound strategy because next time, no one will give you loans.~~

27.10 FISCAL CONSOLIDATION / PRUDENCE: राजकोषीय एकत्रीकरण / विवेक



It involves reduction in government expenditure to control its Fiscal Deficit. Such as

1. ↓↓ the **leakages (रिसाव)** by targeted delivery of schemes and subsidies through direct benefit transfer (DBT) through JanDhan- Aadhar- Mobile (JAM) trinity.
2. ↓↓ the **quantum (मात्रा)** of subsidies: e.g.
    a. Deregulation of Petrol prices (2010), Diesel (2013) (दामो को नियंत्रण मुक्त)

b. 2016: Oil Ministry began to block LPG-Pahal subsidies to persons with annual taxable income of ₹ 10 lakh />
c. 2017: Oil Ministry asked oil companies to keep raising prices of subsidised kerosene by 25 paise every fortnight until the subsidy is eliminated.

3. **Shutting down loss making PSU**. E.g. Hindustan Photo Films, HMT Bearings, HMT Chinar Watches, Tungbhadra Steel, Hindustan Cable & HMT Watches (2014).
4. **Privatization** of loss making Govt companies (निजीकरण) e.g. IDBI, Air India.
5. 2014-16: Government setup an **Expenditure Management Commission (व्यय प्रबंधन आयोग)** under Bimal Jalan to suggest ways to reduce its Expenditure.
6. **Austerity Measures (मितव्ययिता के उपाय)** e.g.
   a. 2018- W.Bengal govt banning flower bouquets and mementoes in public functions, banning officials meetings at private hotels, frequent installation of AC, car purchases, office renovations etc. & restricting the no. of foreign tours by Ministers / IAS etc., More use of video-conferencing instead of physical travel.
   b. 2019: PM's ordered all Union ministries to reduce wasteful expenditure on travel, food and conferences by 20% (यात्रा, भोजन और सम्मेलन की फिजूल खर्ची मे कटौती करो).
   c. 2021: Parliament canteen subsidy ended e.g. Masala Dosa will no longer be sold at ₹6 etc. This will help saving ₹8cr

🔠❓ **MCQ. What can be done by by the government to reduce the deficit? (IAS-2015)**

1) Reducing revenue expenditure 2) Introducing new welfare schemes
3) Rationalizing subsidies 4) Expanding industries
Answer Codes: (a) 1 and 3 only (b) 2 and 3 only (c) 1 only (d) 1, 2, 3 and 4

🔠❓ **MCQ. In India, the price of petroleum products has been deregulated to _ _. (CDS-2013-II)**

(a) reduce the burden of subsidies given to the oil companies
(b) discourage the exploration of oil reserves in the country
(c) discourage the demand for private vehicles (d) curb the use of black money in the economy

27.11 💼💉 FISCAL STIMULUS (राजस्व प्रोत्साहन पेकेज)



- When govt ↓↓ taxes and/or ↑↑ public procurement (सरकारी खरीद) to ↑↑ demand & growth in economy, it's called "*Fiscal Stimulus*" (राजस्व प्रोत्साहन पेकेज). examples
- - 2008: PM Manmohan's Fiscal Stimulus after USA subprime crisis. However, the economic surveys observed that such Fiscal Stimulus create new set of problems by ↑↑ fiscal deficit.

27.11.1 👻💼💉👱 Modi's Atma-Nirbhar Bharat Economic Stimulus Package (2020)

⇒ (Origin) 2020-March: Government of India initiated nationwide lockdown to prevent the spread of Corona/COVID-19 pandemic. (कोरोना महामारी के चलते देशव्यापी तालाबंदी)
⇒ This lockdown affected the income and livelihood of everyone from corporate companies to common citizens of India. (सबकी आजीविका को हानी हुई)

⇒ Therefore, to revive the economy, Prime Minister of India launched Atma Nirbhar Bharat stimulus package in 2020-May to revive the Indian economy. (अर्थव्यवस्था को पुनजीवन / प्रोस्ताहन का आर्थिक पेकेज)

⇒ It's centred on five pillars of – Economy, Infrastructure, System, Demand and Vibrant Demography (स्फूर्तिली जनसांख्यिकी).

Table 4: (DATA) Atma Nirbhar Bharat consists of

DATE	Components of Atma Nirbhar Bharat	Original Amt	ES21
2020-Mar to May	1) RBI's monetary policies ⟶ (Ref#1A2)	₹8 lakh cr	₹13 Lcr
2020-Mar	2) PM GARIB KALYAN (PMGKY): Covid Relief Package	₹1.70-1.90 lcr	₹17 Lcr
2020-May	3) FM Nirmala.S made new announcements made like Credit guarantee for MSME, ↓↓ TDS rates, PM Matsya Samda Yojana, Agri infra fund etc.	₹11 lakh cr	
ATMANIRBHAR = 1+2+3=Total कुल मिलाकर जोड़ी गयी रकम		= ₹20 lcr approx. (10% of GDP)	₹30 Lcr = 15% of GDP

Note: Salient features of Atma-Nirbhar spread across 6 pillars of Handout. Its criticism, how useful in reviving economy & GDP growth, Nehru vs Modi's ideas etc. = Ref: Pillar#4C Mains HDT

27.11.2 Frontloading of Stimulus and Overheating in Economy

Refer to Pillar 4D: GDP

MCQ. Which one of the following describes the "fiscal stimulus"? (UPSC-Pre-2011)

1) It is a massive investment by the Government in manufacturing sector to ensure the supply of goods to meet the demand surge caused by rapid economic growth
2) It is an intense affirmative action of the Government to boost economic activity in the country
3) It is Government's intensive action on financial institutions to ensure disbursement of loans to agriculture and allied sectors to promote greater food production and contain food inflation
4) It is an extreme affirmative action by the Government to pursue its policy of financial inclusion

27.12 Fiscal Responsibility & Budget Management Act, 2003

FRBM Act: राजकोषीय उत्तरदायित्व और बजट प्रबंधन अधिनियम, 2003

Originally it required Union and States to control their deficits with following targets:

- By 2008: ↓↓ Fiscal Deficit
  - For Union: 3% of GDP (GROSS DOMESTIC PRODUCT: सकल घरेलू उत्पाद)
  - For States: 3% of GSDP (GROSS STATE DOMESTIC PRODUCT)
- By 2008: Eliminate Revenue deficit (=make it 0%) of their respective GDP or GSDP.

While some of the state govts achieved them, but successive union govts struggled to meet these targets so they kept amending the act to extend the deadlines and targets. (लक्ष्यों की समयसीमा को पीछे धकेलते रहे). E.g. Amendment 2012: No need to have 0% Revenue deficit. Instead it required 0% Effective Revenue Deficit by 2015. These deadlines extended even further in subsequent years.



27.13🙌 FRBM: Trigger Mechanism (to) Escape (Deficit control) Clause

FRBM Act Section 4(2): provides for a trigger mechanism to escape the deficit control related clauses in the act i.e. Government can overcross the targets in following situations (चुनिन्दा 'ट्रिगर' परिस्थितियों मे, घाटे-नियंत्रण संबंधी धाराओं से बच सकते हैं)

1. ⚔️ National Security / Act of War (राष्ट्रीय सुरक्षा / युद्ध)
2. 🌬️🌪️ National Calamity (राष्ट्रीय आपदा)
3. 🌽 If agriculture output and farm incomes collapse (कृषि उत्पादन, आय मे पतन)
4. 📉 Fall in real output/ GDP growth rate beyond x% (विकास दर में अत्याधिक गिरावट)
5. 🍋 Structural reforms in the economy with unanticipated fiscal implications (अर्थव्यवस्था में संरचनात्मक सुधारों की राजकोष पे अप्रत्याशित असर हो.)

🔫🙌 **<u>During above 'trigger conditions' (उक्त 'ट्रिगर' परिस्थितियों मे)</u>**

⇒ **FRBM Act Section 4(2)**: Govt may overcross/deviate the fiscal deficit target by upto 0.5% of GDP, as recommended by NK Singh's FRBM review Committee. (घाटे की मर्यादा/लक्षयांक को लांघ देना).

⇒ Individual State Governments may also do similar (e.g. overcross by 0.5% of GSDP), but they've to amend their state FRBM Act accordingly with this provision.

⇒ 2019 & 2020 these provisions were used.

- **2020-Corona crisis:** Govt's income ↓ ↓ and expenses ↑ ↑ so deficit rose to unprecedented level. 💼Budget-2021: FRBM amended fiscal deficit 6.8% (2021-22) and 4.5% (2025-26).

27.13.1 💼👊🔨🗂️ FRBM Act: Documents (दस्तावेज़)

FRBM Act requires the Union Govt to present following documents along with the budget:

Sr.	Title	Presented/not?
1.	**Macroeconomic** Framework Statement to show GDP, growth rate, import-exports (व्यापक आर्थिक ढाँचा विवरण):	*Yes*
2.	**Medium** Term **Fiscal Policy** Statement (मध्यम अवधि की राजकोषीय नीति विवरण)	*Yes, in a single PDF*

3	**Fiscal** Policy **Strategy** Statement (राजकोषीय नीति कार्यनीति विवरण)	
4.	Medium-term **Expenditure** Framework (मध्यम अवधि व्यय ढाँचा विवरण)	***Not since Corona to 2026***

🔠❓ **MCQ. According FRBM Act, Which document is not presented? [CDS-2008-I]**

(a) Macroeconomic Framework Statement (b) Fiscal Policy Strategy Statement

(c) Medium-term Fiscal Policy Statement (d) Statement showing Short term Fiscal Policy

🔠❓ **MCQ. Why FM places 'The Macro Economic Framework Statement'? (IAS-2020)**

[a) Long standing parliamentary convention

[b) Article 112 and Article 110(1) [c) Article 113 of the Constitution of India

[d) Provisions of the Fiscal Responsibility and Budget Management Act, 2003

27.13.2 🍋🕴️ 16th FC on Fiscal Deficit, subsidies & sarkaari companies

16th FC target	Union	State
Fiscal Deficit Target	3.5% of GDP by 2030–31	3% of GSDP

- Strictly stop the off-budget borrowings/extra budgetary resources.
- 16th FC on subsidies: (1) Criticized unconditional cash transfers. Set clear exclusion criteria. (2) Union should set up a new committee to shut down non-productive schemes.

27.13.3 ⚖️ FRBM: we shd NOT reinstate 3% FD target! Says 📕ES26

- Old FRBM Act (2003) had Fiscal deficit= 3% of GDP FD target. Since 2003, we achieved **only once**. So, government's credibility was eroded.
- 📕ES26 suggests don't rush back to old rule (3%). Because at present, the global economy is too volatile- due to Trump-Tariff, Israel-Palestine, Russia-Ukraine, AI-disruptions etc.
- Instead, we should set up a new framework = **debt ratio target of 50 ±1% of GDP by 31/3/2031**
- 31 March 2031 is chosen because this is when the 16 Finance Commission's report ends.

27.13.4 🤚🤜 India's debt is not financed by taxation & it is very महान-📕ES26

- 3 ways to finance government debt: (1) print more money, (2) raise more taxes, (3) borrow.
- Temporary shocks (COVID, wars) → deficit-financed. The Indian government borrowed more, rather than raising taxes.
- And historically (before Corona), when debt ⇑, India reduced spending to stabilize it.
- And compared to many OECD nations, the Indian government has spent more of its tax revenue on capital/infra projects. (हम बहतर है)

27.14👻👦🕉️👨‍🦲 Fiscal Federalism: Helping the States in ATMANIRBHAR

- - Corona = Union's tax income ↓↓ but still Union has given the Tax Devolution & grants (कर अंतरण व अनुदान) to the states, as per the report of Finance Commission report.
- Constitution Article 293: States require union govt permission before borrowing money.
- Before: Union had kept states net borrowing ceiling @3% of Gross State Domestic Product (GSDP) (राज्यों के सकल घरेलू उत्पाद के 3% से ज्यादा कर्ज राज्य सरकार नहीं ले सकती)
- 👻After ATMANIRBHAR: 3% → ↑↑to 5% for 2020-21. राज्य सरकार की राजकोषीय घाटे की मर्यादा को बढ़ाया

Sr	if State Government does following reform	State can borrow extra ₹₹ upto _ _ % of GSDP
1	No conditions /un-tied (बिना शर्तों के)	0.50%
2	a) One Nation 1 Ration Card (Ref: HDT-Pillar#6)	0.25%
3	b) Ease of doing business reform; (Ref: HDT-Pillar#)	0.25%
4	c) Urban Local body reforms; (शहरी स्थानीय निकाय, गटर पानी)	0.25%
5	d) Power Sector reforms(Ref: HDT-Pillar#5)	0.25%
6	if any 3 of the above (a-b-c-d) reforms done	0.50%
	Total extra borrowing limit (sum of above six rows)	2% of GSDP.

27.14.1 Fiscal Deficit target for States

Timeline	State Govt's Fiscal Deficit as % GSDP
2020-21	3% (increased to 5% as given above)
2021-22	4% + extra 0.5% with conditions (=total 4.5%)
2022-23	3.5% + extra 0.5% for power sector reforms. (=total 4%)
2023 onwards	3% + extra 0.5% for power sector reforms. (=total 3.5%). This 3-3.5% limit can be extended even further depending on how much state government **has contributed in the NPS** for its state government employees,
16th FC	3% of GSDP has been recommended.

⇒ GSDP = Gross State Domestic product.

⇒ What are power sector reforms? Ref: Pillar:5- Energy infrastructure.

⇒ What is the data for 2024-26? Ans. Not clearled disclosed in Budget speech so I didn't PhD.

27.14.2 State-level Debt:IP/RR ratio & problems ES26

Ratio & Average for 28 States (FY25)	ES26: observation
Debt/GSDP ratio = 28.1%	Lower is better.
IP/RR ratio = (Interest Payment ÷ Revenue Receipts)= 12.6%	lower is better because it means more money left for actual spending

- But wide variation across states — some states fiscally strong, some weak.
- States borrow via **SDL** (State Development Loans).
- Problem: SDL market is shallow. Mostly held by domestic institutions, limited secondary market trading. (आम कंपनियों के शेयर की माफ़िक़ इसकी ख़रीद बेच नहीं चलती इसलिए औक़ात नहीं पता चलती)
- So there is not enough movement in the bond-yield curves, for the investors/rating agencies to make decisions and punish the weak states.
- Consequently, weak states don't pay higher interest than strong states. This is increasing the trend of revdi-culture / freebies. Both ES26 & FC have raised concern over this.

27.14.3 Kerala State Deficit problem vs Union Govt bans Kerala from borrowing more

Topic still developing. Matter in Supreme Court. & it's more relevant for Mains than Prelims.

If u've time to waste → watch my video at https://youtu.be/NDluzTb6Oig?si=w0_GleTIqrGopnKM

27.15💼👊🔨 FRBM: Misc. Concepts- Profligacy, Slippage

1) **Fiscal Profligacy** (आवारगी/ऐयाशी): This phrase is used to denote reckless extravagance/wasteful expenditure of public money.
2) 🛵 If government has targeted to keep the fiscal deficit within 3.3% percent of GDP, but if it crosses that limit, it's called '**Fiscal Slippage**' (राजकोषीय फिसलन).

27.15.1 💼👊🔨👷:🎯 Budget marksmanship is Poor, says 15th FC

- **Marksman** = gunman who is skilled in shooting targets. (निशानेबाज)
- **Budget marksmanship** = ability to keep actual income & expenditure within budget estimates. Union govt is poor at it — why?
- Income overestimated to show rosy picture → when tax targets missed, two problems:

😰 Problem	Impact
Tax terrorism & litigation	Direct tax disputes: <₹3 lcr (2012) → ~₹10 lcr (2020) e.g. Vodafone
Ad-hoc expenditure management	Over-reliance on extra-budgetary resources; random scheme cuts → contractors unpaid → substandard construction

27.15.2 💼👊🔨👷 Fiscal Responsibility: Misc Bodies- PDMA, Fiscal Council

Topic	Key Point
💼 **Expenditure Management Commission (2014)**	under Dr. Bimal Jalan to ↓ fiscal deficit & subsidy bill
NK Singh FRBM Review (2016)	To relax the FRBM targets. But too outdated, I'm ignoring its PYQs also.
👷 **Public Debt Management Agency (PDMA) & Fiscal Council**	Both shifted to Mains handout. These orgs are not yet set up

Next HDT: 2D3- Rail Budget, Plan-Vs-Non-Plan, Gender Budget, CSS, etc.